

Michigan Exam Prep: Contractual Relationships

STUDY SHEET

Top Takeaways

You can expect to see five questions related to contractual relationships on your licensing exam.

Agency Relationships Available in Michigan

- Seller's agent: A licensee acting on behalf of and owing fiduciary duties to a seller
 - Sellers can permit the seller's agent to cooperate with sub-agents, buyer's agents, and transaction coordinators.
 - A sub-agent is a licensee who agrees to work with the listing agent and acts on the seller's behalf.
 - Seller agents and sub-agents are required to disclose to their seller clients any information known about the buyer which may benefit the seller.
- Buyer's agent: A licensee acting on behalf of and owing fiduciary duties to a buyer, tenant, or lessee
 - Buyer agents and sub-agents are required to disclose to their buyer clients any information known about the seller which may benefit the buyer.

Transaction Coordinator

- Transaction coordinator: A licensee who isn't an agent for either party to the transaction. The coordinator is considered a neutral party.
 - If a licensee is representing a seller, that same licensee can't act as a transaction coordinator for the buyer, and vice versa. A transaction coordinator doesn't represent any party in the transaction.
 - A transaction coordinator is neutral, and therefore can't be involved in any contract negotiations between the parties. The coordinator essentially brings the two parties together, then let's the parties hash out the transaction details.
- Licensees can act as a transaction coordinator upon written notice to all transaction parties.

Designated Agency

- Designated agent: A licensee who's designated by the supervisory broker to act as the client's agent.
- A broker and client enter into a designated agency agreement. The client has an agency relationship with all of the broker's affiliated licensees until a written agreement designates a specific licensee to represent the client. When a specific designated agent is identified, the client no longer has an agency relationship with the other affiliated licensees at the brokerage.
- A designated agency agreement can, at any time, amend a previously executed listing or buyer's agency agreement in order to establish a designated agency relationship, to change a designated agent, or to change the supervisory broker.
- Designated agency agreements list the names of associate brokers who can act as supervisory broker in addition to the broker.
- Brokers and supervisory brokers are disclosed consensual dual agents if the designated agents represent both parties to the same transaction. Each designated agent must disclose to their respective clients the fact that the broker represents both parties before any offers related to the transaction are made or presented. The two designated agents representing the transactional parties are NOT considered dual agents.
- Designated agents can't reveal confidential information shared by their client to any other licensee, except to the supervisory broker when seeking advice or assistance for the client's benefit.
 - Confidential information known by the designated agent isn't assumed to be known by other affiliated licensees who don't have a relationship with the client.
 - Example: Jasmine, a seller's designated agent, knows that the seller is willing to accept less than list price for the property. Just because Jasmine knows this information doesn't mean that other affiliated licensees at her brokerage know this information. In fact, it'd be a violation for Jasmine to share confidential information with affiliated licensees who aren't part of the agency relationship.

Dual Agency

- Dual agent: A licensee who represents both the buyer and seller in the same transaction. A dual agent can't perform all the fiduciary duties that a buyer's or seller's agent performs.
 - For example, a licensee can't disclose all known information to one client if it was provided by the other client. That could breach the duty of confidentiality owed to any client. It could also give the perception of putting loyalty owed to one client ahead of another client.
 - Dual agents mustn't act in a way that puts one client at an advantage and the other at a disadvantage.
 - Dual agents still have a duty to disclose material facts related to the property or transaction as required by law.
- Licensees can only act as dual agents with written, informed consent from both the buyer and the seller.

Agency Disclosures

- Before a prospective buyer or seller reveals confidential information, licensees must disclose all possible agency relationships available and explain the duties that come with each relationship to both potential clients.
- Agency disclosure is required for transactions involving the sale or lease of the following:
 - One- to four-unit residential dwellings
 - Building sites for residential units on either a:
 - Lot as defined by the Land Division Act that is "a measured portion of a parcel or tract of land, which is described and fixed in a recorded plat"
 - Condo unit as defined by the Condominium Act that is a "portion of the condominium project designed and intended for separate ownership and use, as described in the master deed"
- The disclosure includes the minimum duties an agent owes to any client (buyer client or seller client) as well as the services an agent should perform for the client. (*Note: These are listed in the Service Provision Agreements section of this study sheet.*)
- Licensees acting as agents must disclose their agency relationship to the other party. For example, if Linda is acting as a seller's agent, she must disclose to prospective buyers that she represents the seller.
- The disclosure lists and describes the agency relationships available in Michigan. (*Note: These were described earlier in this study sheet.*)
- The disclosure also includes a space to indicate in which capacity the licensee is acting and whether just the licensee and the licensee's broker or all affiliated licensees at the brokerage have entered into the same agency relationship.
- The individual signs and dates the disclosure acknowledging receipt and that it's been reviewed prior to the individual providing any confidential information to the licensee.

Broker/Salesperson Relationships

- A broker or associate broker designated as a supervisory broker is required to supervise real estate salespersons. At a minimum, this supervision includes:
 - Being in direct, regular communication with the salesperson (this can be in person, via phone, email, or other mediums)
 - Reviewing the salesperson's activities and practices
 - Reviewing salesperson's reports
 - Analyzing and providing guidance related to the salesperson's performance
 - Providing written policies and procedures to the salesperson
- Brokers can't contract with licensees who are affiliated with other brokers in a way that interferes or limits that licensee's broker's authority to supervise.

Service Provision Agreements (Listings, Buyer Broker)

- Service provision agreements establish a relationship between a client and agent. These are often referred to as agency agreements.
 - Buyer agency agreements establish a buyer agency relationship.
 - Listing agreements establish a seller agency relationship.
 - Michigan prohibits licensees from entering into net service provision agreements, or what's commonly called a net listing. A net listing is an agreement in which a seller and broker agree that the broker will receive all net proceeds from a sale that are more than a specified sales price. For example, Jerome is listing Kim's house. She tells him she needs to make \$225,000 off of the sale, and that any amount more that he can keep. This agreement would be illegal in Michigan.
- Licensees must provide parties with a copy of an executed agreement at the time of signing.
- Agreements must be complete before obtaining either party's signature.
- Agreements must include a definite expiration date.
- An agreement can't include a clause requiring the client to provide notice to the broker of an intent to cancel the agreement upon or after expiration. In other words, Mike has an agreement with broker Bill that's set to expire in six months. Bill can't require Mike to provide notice of intent to cancel the agency relationship that's set to expire.
- Listing agreements must include fair housing language informing the property owner that it's illegal for the agent, broker, seller, or lessor to discriminate on the basis of religion, race, color, national origin, age, sex, disability, familial status, or marital status.
 - For example, sellers are prohibited from instructing their agents not to show the property to any buyers who have kids.
- Licensees acting under a service provision agreement must perform the duties within the contract. At a minimum, licensees representing clients must perform the following duties:
 - Exercise reasonable skill and care when representing the client and performing agency responsibilities.
 - Perform duties according to the term of the service provision agreement (also known as the agency agreement).
 - Be loyal to the client's interests (putting the client's interests above all other interests, including the agent's own).
 - Licensees can't misrepresent material facts either directly or indirectly. Licensees must fully disclose known material facts about the property's condition to buyers and sellers. Licensees won't face disciplinary action for providing these disclosures (though they will if they do NOT provide the proper disclosures), nor do licensees breach their duty of loyalty to a client for making required disclosures.
 - Additionally, a licensee doesn't breach any duties for failing to disclose information obtained through other agency agreements, whether past or present. For example, Megyn previously represented Sam, a seller. During that relationship, Sam revealed the lowest price at which he would sell the property. The listing

agreement expired without a sale and Megyn and Sam parted ways. Now, Megyn represents a buyer who is interested in Sam's property, but it's listed by another licensee. If Megyn keeps confidential the lowest price Sam is willing to accept, she doesn't breach her loyalty (or any duties) to her current buyer client.

- Comply with local, state, and federal laws, rules, and regulations.
- Refer clients to licensed professionals for matters outside the scope of a real estate licensee's expertise.
- Account for money and property received in a timely manner.
- Maintain confidentiality of information received during the relationship, including keeping this information confidential from other licensees who don't represent the client.
 - Information may be disclosed with the client's permission or if required by law, such as material facts. For example, if a seller says a property has lead-based paint, but the seller wishes to keep that confidential, the licensee must disclose to comply with federal laws requiring disclosure of lead-based paint.
- The service agreement also lists the services an agent should perform for clients, including:
 - Marketing the property when representing a seller or landlord
 - Receiving and presenting offers or counter-offers
 - Licensees must recommend to buyers that they require the seller to provide a fee title policy to the buyer in an amount equal to the purchase price and issued at or near purchase closing.
 - Assisting in preparing and delivering offers, counter-offers, and related documents, including assisting in negotiations of offers and counter-offers, until an agreement is in place and all contingencies are met or waived
 - Continuing to assist the client after a purchase agreement is signed and until transaction closing by ensuring contract terms are being met
 - Licensees can't close on a transaction on any terms that differ from those included in the written purchase agreement unless both buyer and seller provide written approval otherwise.
 - Specific to brokers or associate brokers involved in transaction closings: providing or ensuring transaction parties are given complete and detailed closing statements that show receipts and disbursements related to the party. The statement is signed by the broker or associate broker. This service doesn't apply if the closing is performed by an agent of a title insurance company who's licensed and authorized to do so.
- Seller's agents or brokers can't advertise a property as "For Sale by Owner" if a service provision agreement is in place. This is misleading and gives the impression that the owner is not represented by a real estate agent.
- Some services may be waived through a limited service agreement. This type of agreement maintains the agency relationship (it doesn't terminate the relationship), but allows the client to waive the agent's responsibility to perform some of the services outlined in a service provision agreement. Essentially, it's limiting the service the agent needs to provide.
- A client can wholly or partly waive services related to offers and assistance after a purchase agreement has been executed. Here's the specific language included in the Michigan statute related to limited service agreements:
 - *Pursuant to Michigan law certain services provided by a real estate licensee may be waived. A real estate licensee is required to perform certain services for his or her client unless these services are waived by the client. By signing below, you agree that the real estate licensee will not be required to perform the services initialed.*
 - *Acceptance of delivery and presentation of offers and counteroffers to buy, sell, or lease your property or the property you seek to purchase or lease.*
 - *Assistance in developing, communicating, negotiating, and presenting offers, counteroffers, and related documents or notices until a purchase or lease agreement is executed by all parties and all contingencies are satisfied or waived.*
 - *After execution of a purchase agreement by all parties, assistance as necessary to complete the transaction under the terms specified in the purchase agreement.*

Michigan Laws and Rules

The Candidate Information Bulletin lists the Michigan Laws and Rules you should be familiar with when preparing for the licensing exam. While we've summarized the laws related to the topics included in this study sheet, you may also find it helpful to read through the laws. Check out the 'Examination Study Materials' section of the bulletin for more information.